Graham relates here, that kind of analysis went out of style when stocks started levitating without reference to anything except hope and prophecy. So by about 1927, fortune-telling and chart-reading had displaced the value discipline by which he and his partner were earning a very good living. It is characteristic of Graham that his critique of the "new era" method of investing is measured and not derisory. The old, conservative approach—his own—had been rather backward looking, Graham admits. It had laid more emphasis on the past than on the future, on stable earning power rather than tomorrow's earnings prospects. But new technologies, new methods, and new forms of corporate organization had introduced new risks as well as opportunities into the post–World War I economy. This fact—"the increasing instability of the typical business"—had blown a small hole in the older analytical approach that emphasized stable earnings power over forecast earnings growth. Beyond that mitigating consideration, however, Graham does not go. The new era approach, "which turned upon the earnings trend as the sole criterion of value, . . . was certain to end in an appalling debacle." (Chap. 28) Which, of course, it did, and—in the CNBC-driven markets of the twenty-first century—continues to do at intervals today.

A MAN OF MANY TALENTS

Graham, born Benjamin Grossbaum in London on May 9, 1894, sailed to New York with his family before he was two. Young Benjamin was a prodigy in mathematics, classical languages, modern languages, expository writing (as readers of this volume will see for themselves), and anything else that the then-superb New York City public schools had to offer. He had a tenacious memory and a love of reading—a certain ticket to academic success, then and now. His father's death at the age of 35 left him, his two brothers, and their mother in the social and financial lurch. Benjamin learned early to work and to do without.